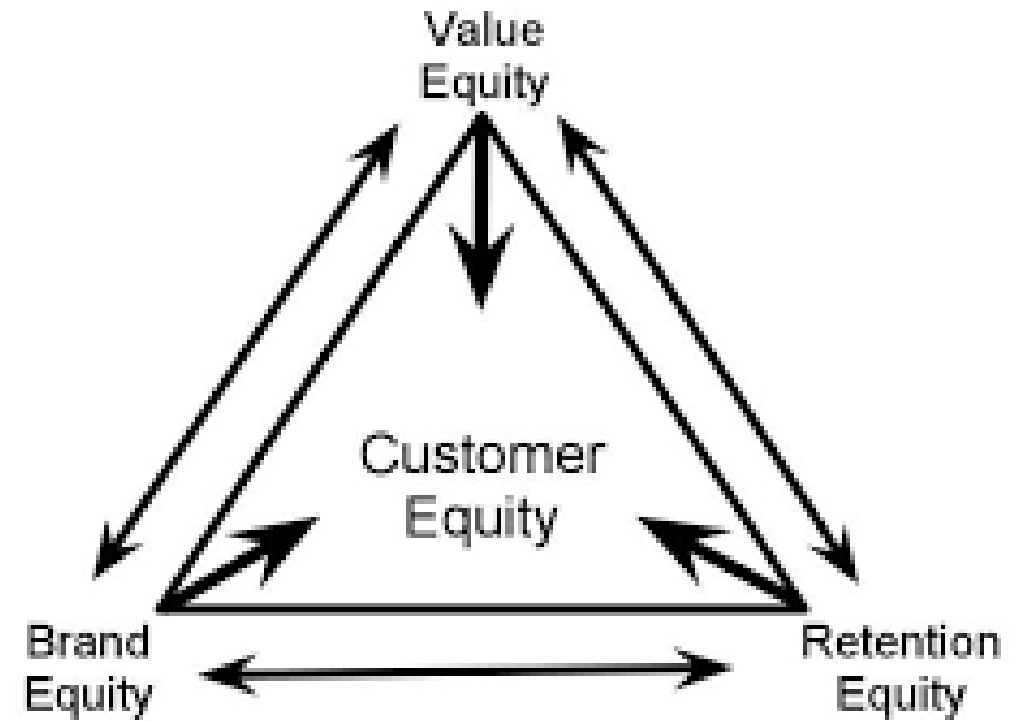


Topic 5 Discussion session: brand&relationship equity

Brand, Relationship & Customer Equity

- Dr. Karin A. Venetis





Agenda today

- Brand Equity – customer based
 - Brand extensions
 - Brand architecture
- Relationship Equity
 - Drivers of relationship strength
- Customer Equity



Agenda

Per topic:



Quiz questions +
examples



Open questions



Reading questions

Relationship equity

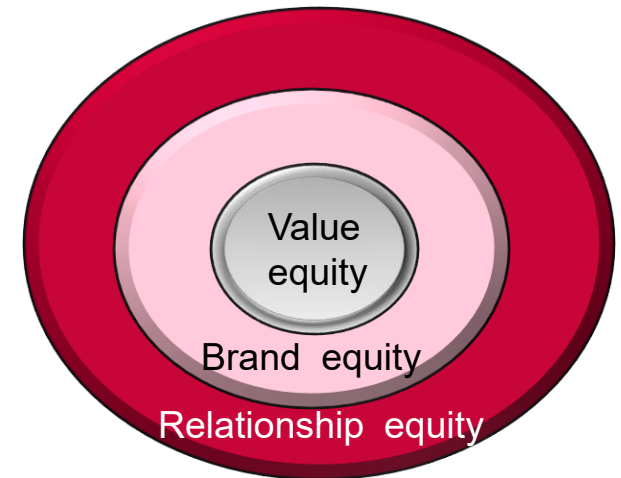
Importance of relationships

What is a relationship

Drivers of relationship strength - loyalty

What makes us loyal?

- Nr 1: great product!
- But Is it enough?



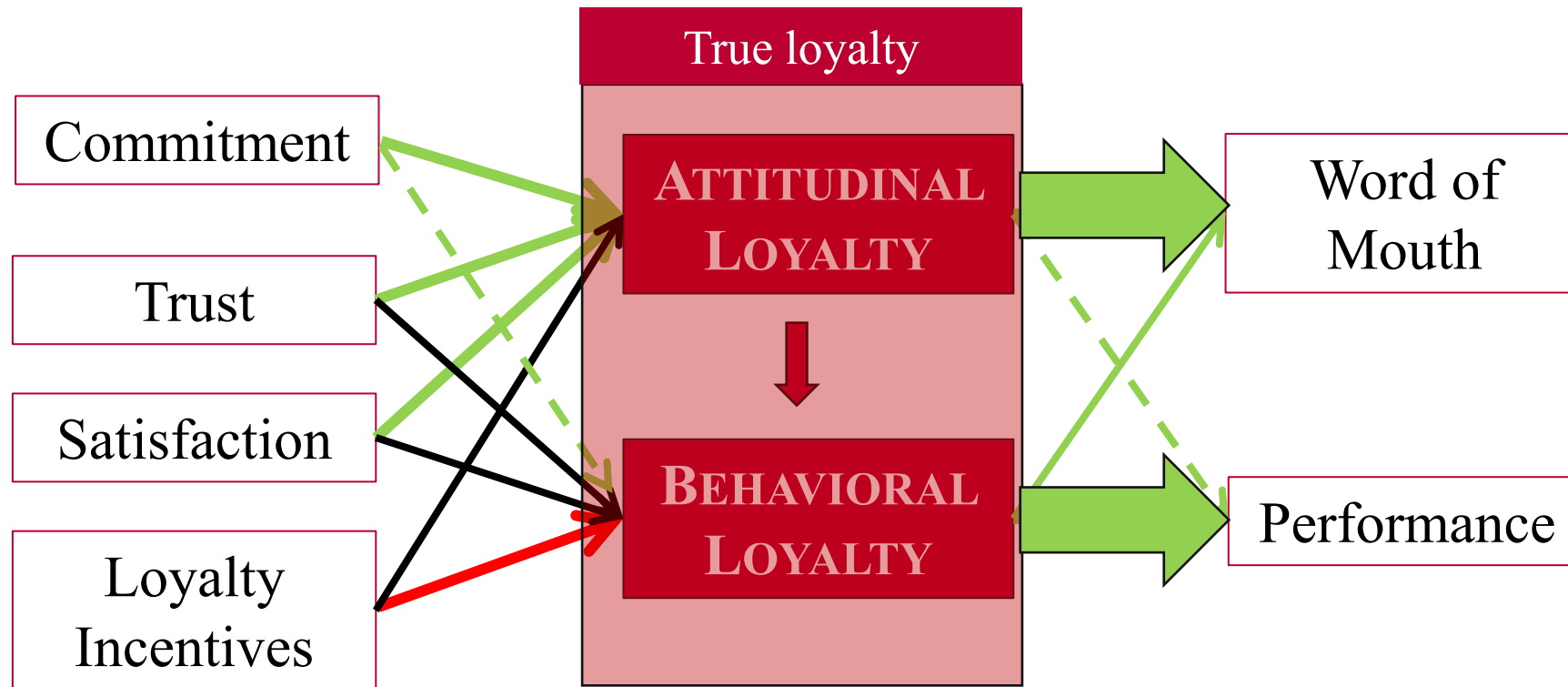
Were you ever satisfied, but never came back?

Ever dissatisfied, yet did come back?

Differential effects & antecedents

Watson et al. 2015

metastudy





Conclusion

Watson et al 2015

- Antecedents have differential effects on attitudinal vs behavioral loyalty
 - Satisfaction & trust much stronger on attitudinal vs behavioural
 - Incentives much less effective than ‘relational strategies’.
- Both forms of loyalty have differing effects on outcomes
 - However, when taken together effectiveness the strongest!
 - Both evaluation-based and action-based mechanisms are needed for strong loyalty.

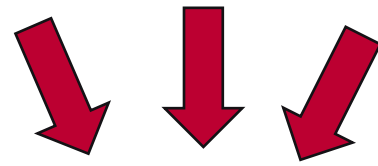
8 Drivers of loyalty

in the article three relational bonds are described that foster customer's loyalty. Would you say that these bonds would have an equal effect on loyalty, or can you detect a hierarchy in the strength of these bonds?

why is the effect of some bonds related to the (service)category that they are created in?

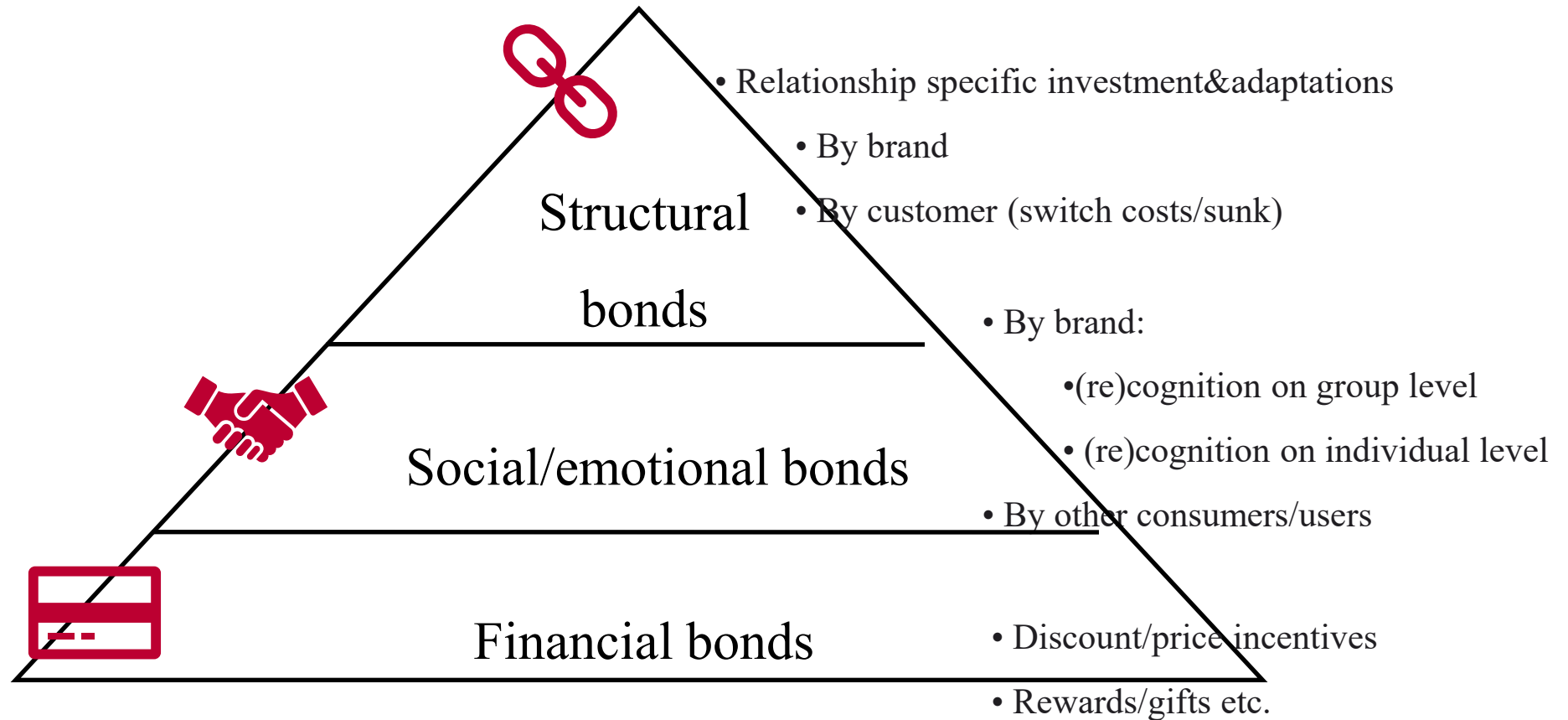
think about your own loyalty behaviour; can you find examples of each of these type of bonds that are created with specific brands or companies?

- Tendency to stick with the brand beyond customer's objective and subjective assessment of the brand
 - Loyalty programs, special recognition&treatment, affinity programs, community programs, knowlegde programs.



Hierarchy relational bonds

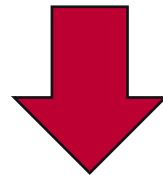
See also: Hsieh et al 2005



Berry 1995

Structural bonds

- Relationship investments by the brand:
 - added value to loyal customers: privileges or specific adaptations based on relationship history (& knowledge)
- Investments by the customer:
 - investments to gain added value: information, time, systems or money, eg. downloading & installing apps, synchronising computer systems etc.



This is interesting because loyalty can come partly from switching costs. Once customers invest time in personalizing a service, leaving the relationship means losing some of that effort and information.

Ayda 2026

These bonds can be positive or negative

Increased switching costs vs added value

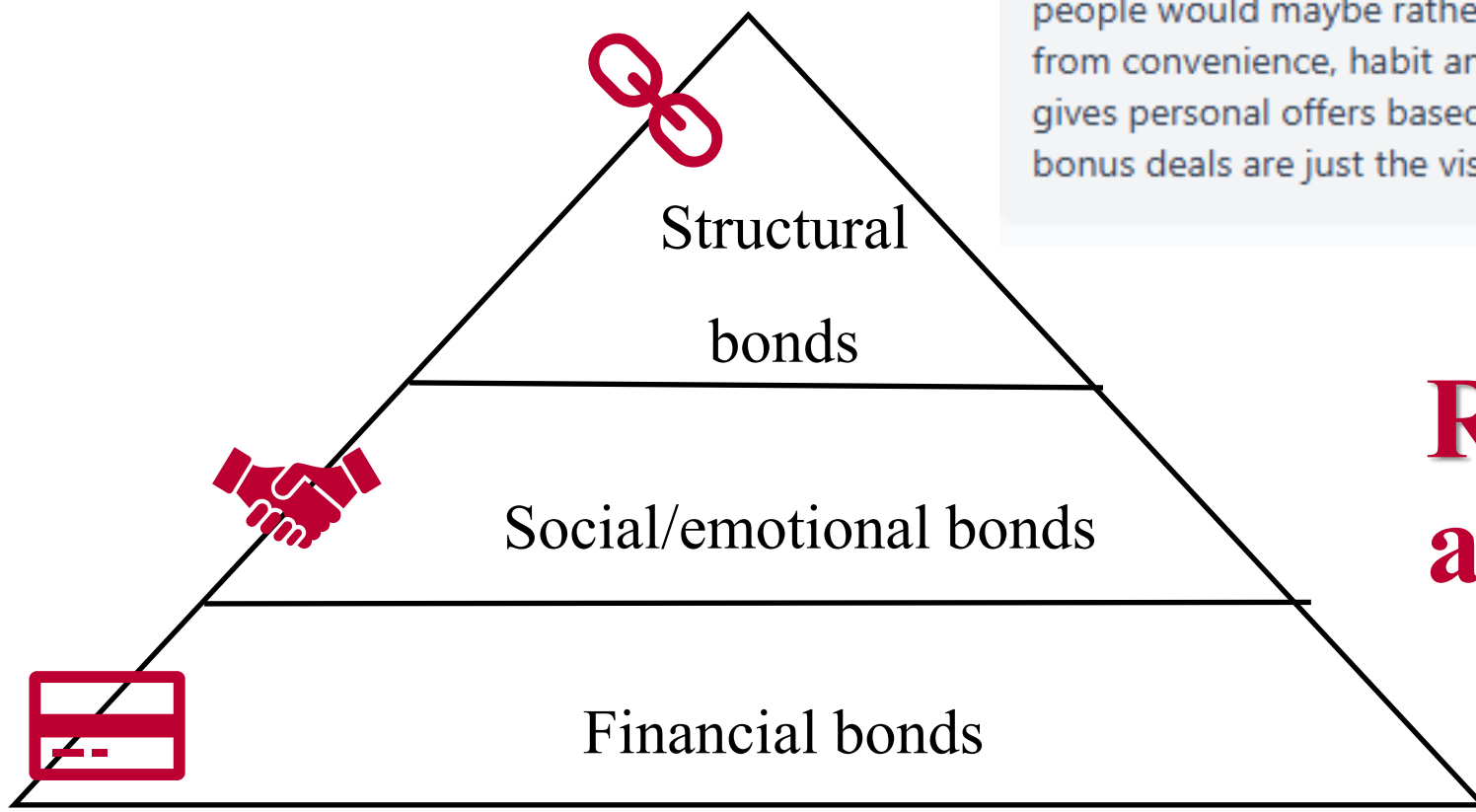
Examples

For financial bond my personal loyalty behaviour lies with Albert Heijn. I keep coming back to this supermarket because of the bonus card and my own personal bonus box. For social bond I think my hairdresser, I know her personally and I know that my hair will always look good because I am used to her. And for structural I think Apple. My laptop, phone, iPad, earpods and Airtag are all Apple so I like the Apple ecosystem.

Jeske 2026

Is it not the case that AH is more an example of a structural bond, than a financial bond? As AH is not the cheapest, so if price/discount were the reason to stay, people would maybe rather go to Lidl or Aldi? I think loyalty to AH comes more from convenience, habit and the app, which remembers your shopping lists and gives personal offers based on your data. That's more of a structural bond. The bonus deals are just the visible part.

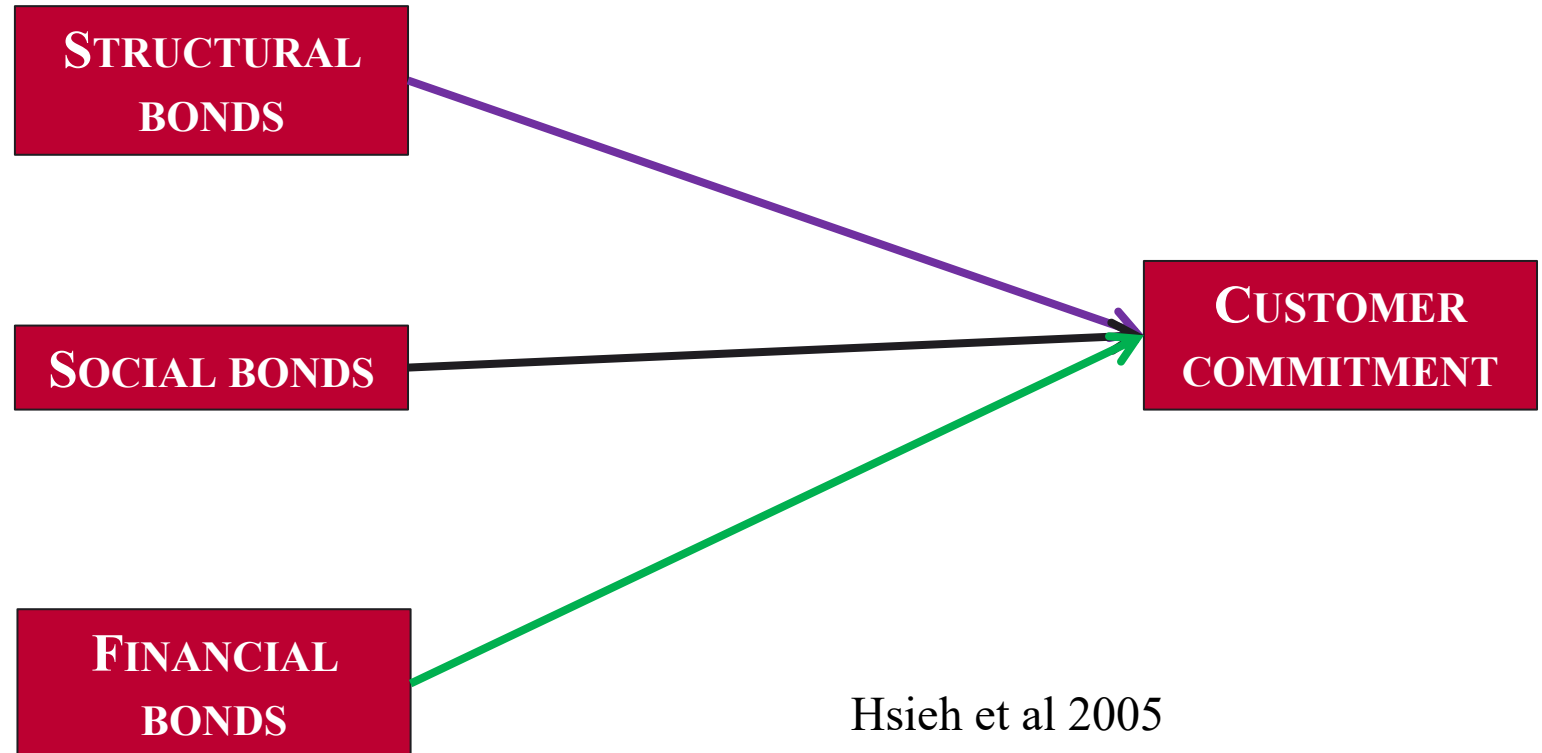
Darja 2026



**Relational bonds
are ... relational**

Relational bonds online

- All bonds important, but different importance for
 - **Search good/services**
 - **Experience goods/services**
 - **Credence goods/services**



Hsieh et al 2005

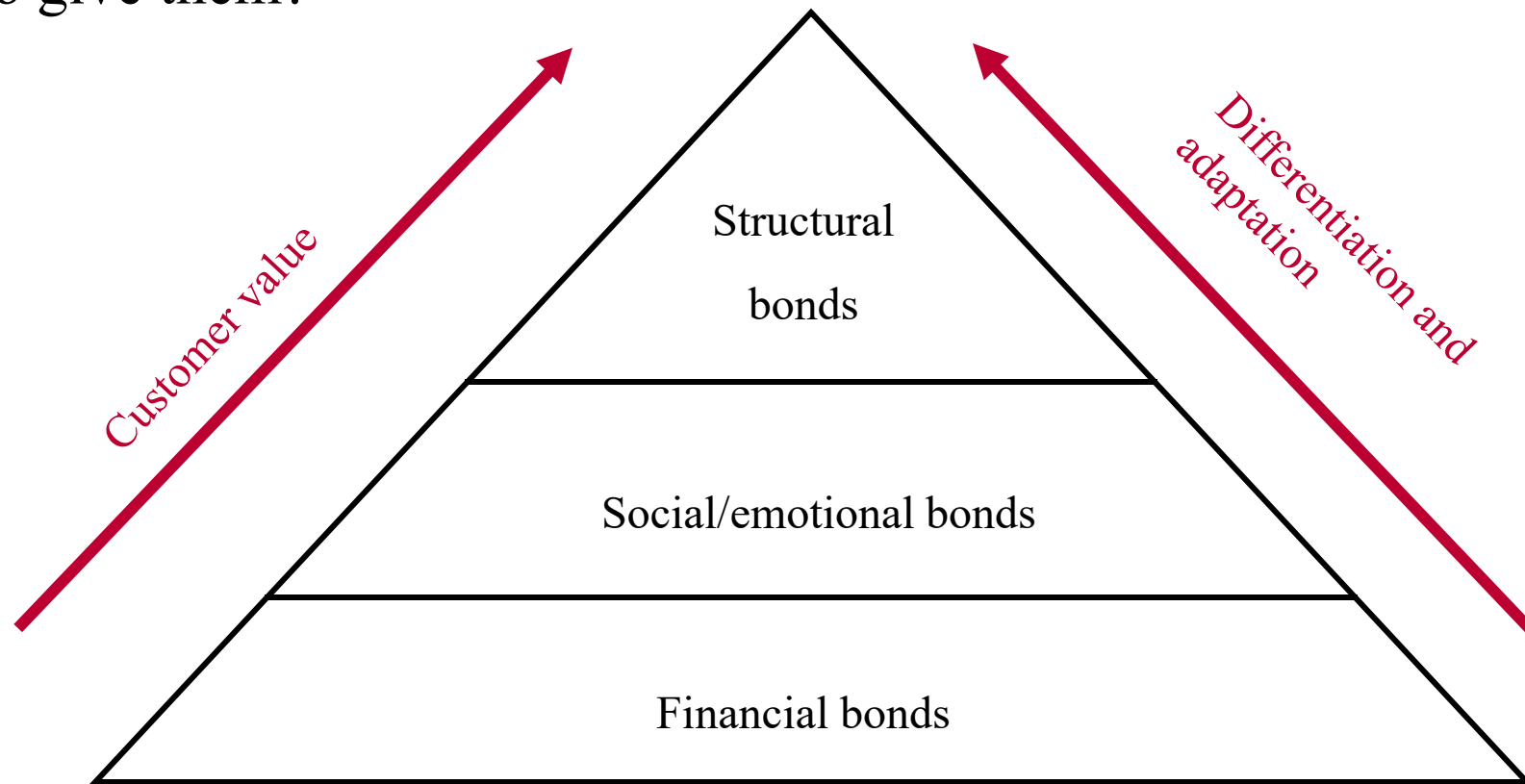


Relationship value and customer value

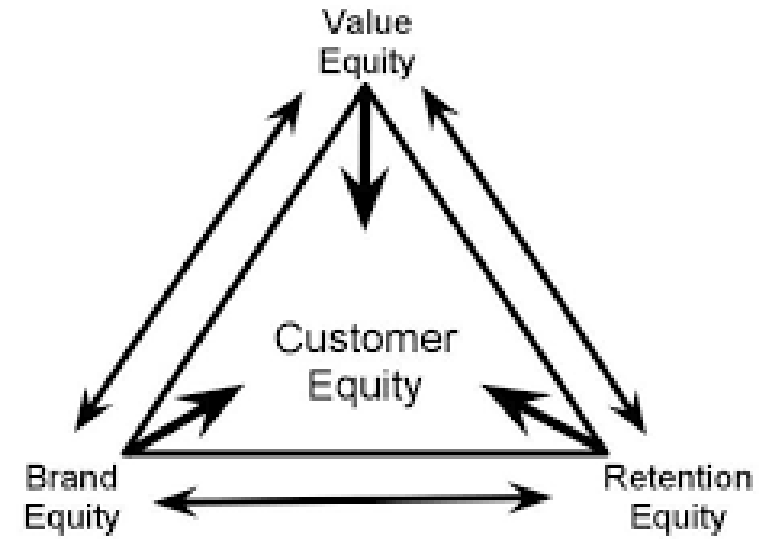
- Which customers to invest in?
- What value to give them?

Honestly, I don't think they're equally strong at all. Financial bonds feel like the weakest to me. Discounts and points are nice, but they don't make me genuinely care about a brand. Social bonds go deeper because they tap into identity and emotion, but even those can fade if the service stops feeling personal. Structural bonds seem the strongest, mostly because they make switching inconvenient. Still, I sometimes wonder whether structural loyalty is "real" loyalty or just being stuck in an ecosystem.

Sebastian 2026

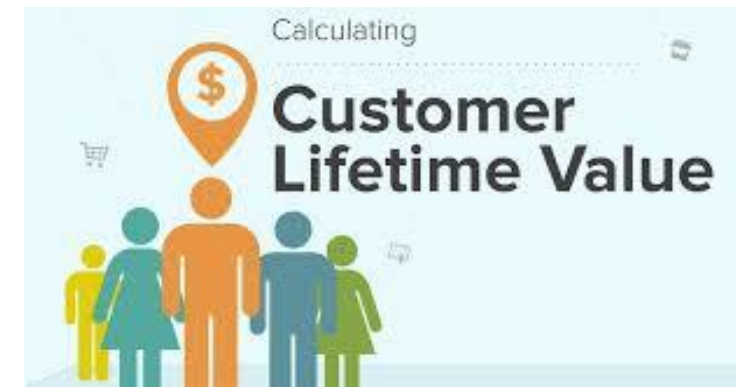


14 Customer equity

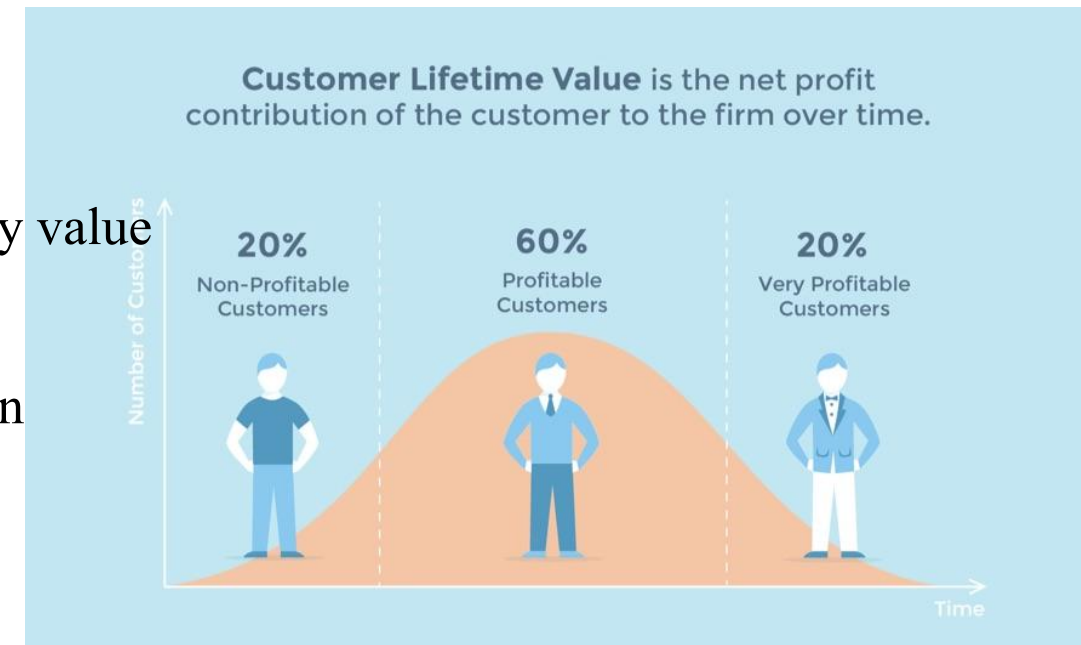


What is exactly customer equity and how is it related to brand equity? Team 9

Customer life time value (CLV)



- The value a customer represents over his entire lifetime with the firm:
 - Income generated through customer over period
 - Costs incurred to generate those incomes over same period
 - Length/frequency of occurrence
- Calculated through average of:
 - Entire customer base current/potential => proxy for company value
 - Segment => differentiation
 - Individual customer => consumer insights and differentiation



Customer life time value (CLV)

Present value of the future cash flows attributed to the customer relationship

$$CLV_i = - \text{ac}_{0,i} + \sum_{t=0}^T \frac{(ccf_{t,i} - cr_{t,i}) \cdot r_i^t}{(1+d)^t}$$

“Always a share model”
vs “Lost for good”

See Gupta & Zeithaml 2006

with

$ac_{0,i}$: acquisition cost in $t=0$ for customer i

$ccf_{t,i}$: cash flow generated by customer i in period t

$cr_{t,i}$: retention cost for customer i in period t

r_i^t : customer i 's retention rate in period t (assumption: retention rate is the same across t)

d : discount rate (not customer specific)

i : customer index

t : time index

Example

$$CLV_i = -ac_{0,i} + \sum_{t=0}^T \frac{(ccf_{t,i} - cr_{t,i}) \cdot r_i^t}{(1+d)^t}$$

- If profit contribution of customer x = 100 euro a year
- And retention rate = 20%, or 0,2
- Then:
 - T=0: income = 100 euro = 100 euro (– acquisition costs)
 - T=1: income = 100 euro * 0,2¹ = 20 euro
 - T=2: income = 100 euro * 0,2² = 4 euro
 - T=3: income = 100 euro * 0,2³ = 0,80 euro
- So after 3 years CLV = 124,80 – acquisition costs
- Assumptions:
 - Adjustment needed for Net Present Value (adding discount rate)
 - Assuming no additional retention costs per year
 - Assuming retention rate every year the same for everybody (in segment)



Measurement of CLV

Silveira et al (2017)

Bottom-up

- Customer level data
- Summing up to segment or company level outcomes
- More data requirements

Top-down

- Segment or firm level data
- Calculate average CLV per customer
- Multiply by expected customers

Measurement of CLV

Silveira et al (2017)

Bottom-up – Behaviour Based Data Method

- More applications – analysis levels
- but more complex data gathering

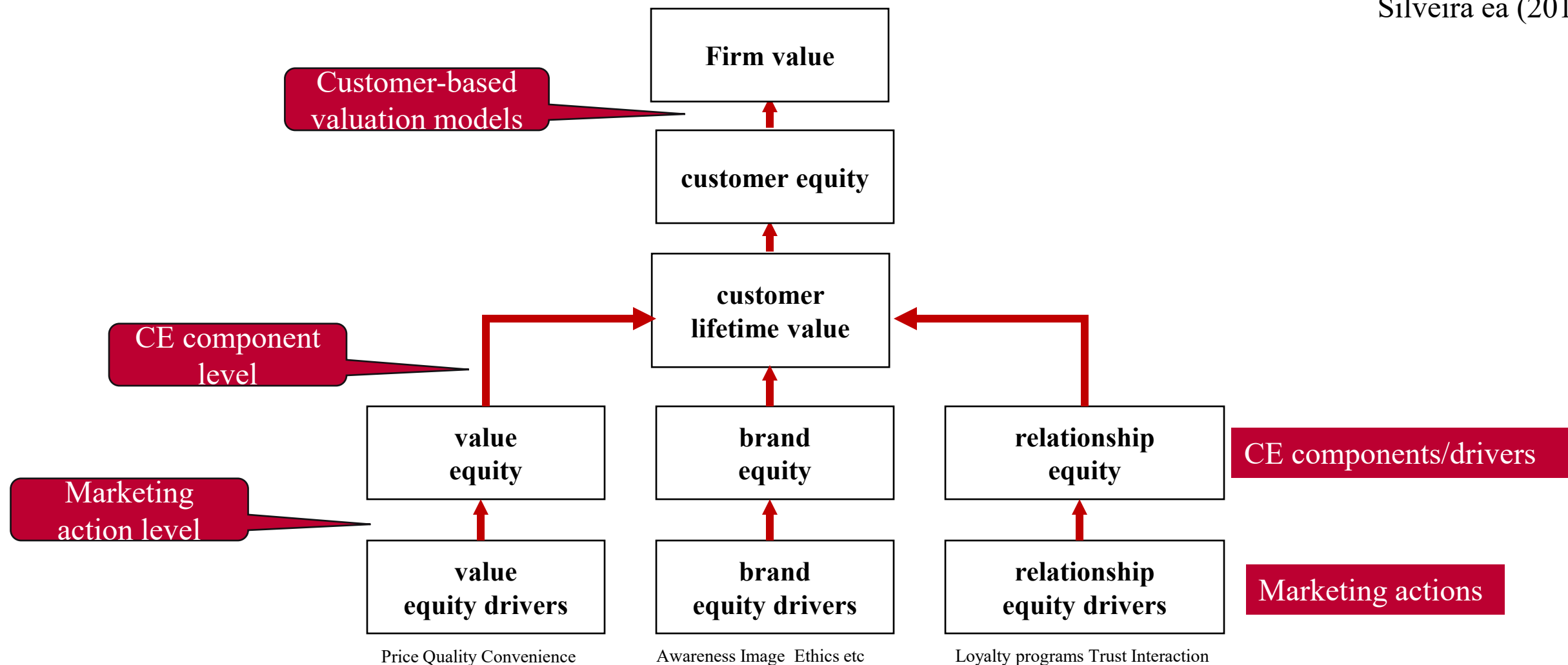
Top-down – Market Based Data Method

- Simpler method
- but more restrictive

	BBDM	Both	MBDM
Existing customers	Individual contribution margin Individual buy probability (Individual retention rate) Finite time horizon	Discount rate (for company)	Average contribution margin Average retention rate
Potential customers	Switching matrix		Infinite time horizon Diffusion model Acquisition cost

Classification of customer equity models

Silveira ea (2017)





Example BBDM – CE component level

Impact of drivers – differences per category

- *Average CLV per customer:*
- *Relative importance of value equity:*
- *Relative importance of brand equity:*
- *Relative importance of relationship equity:*

Industries:

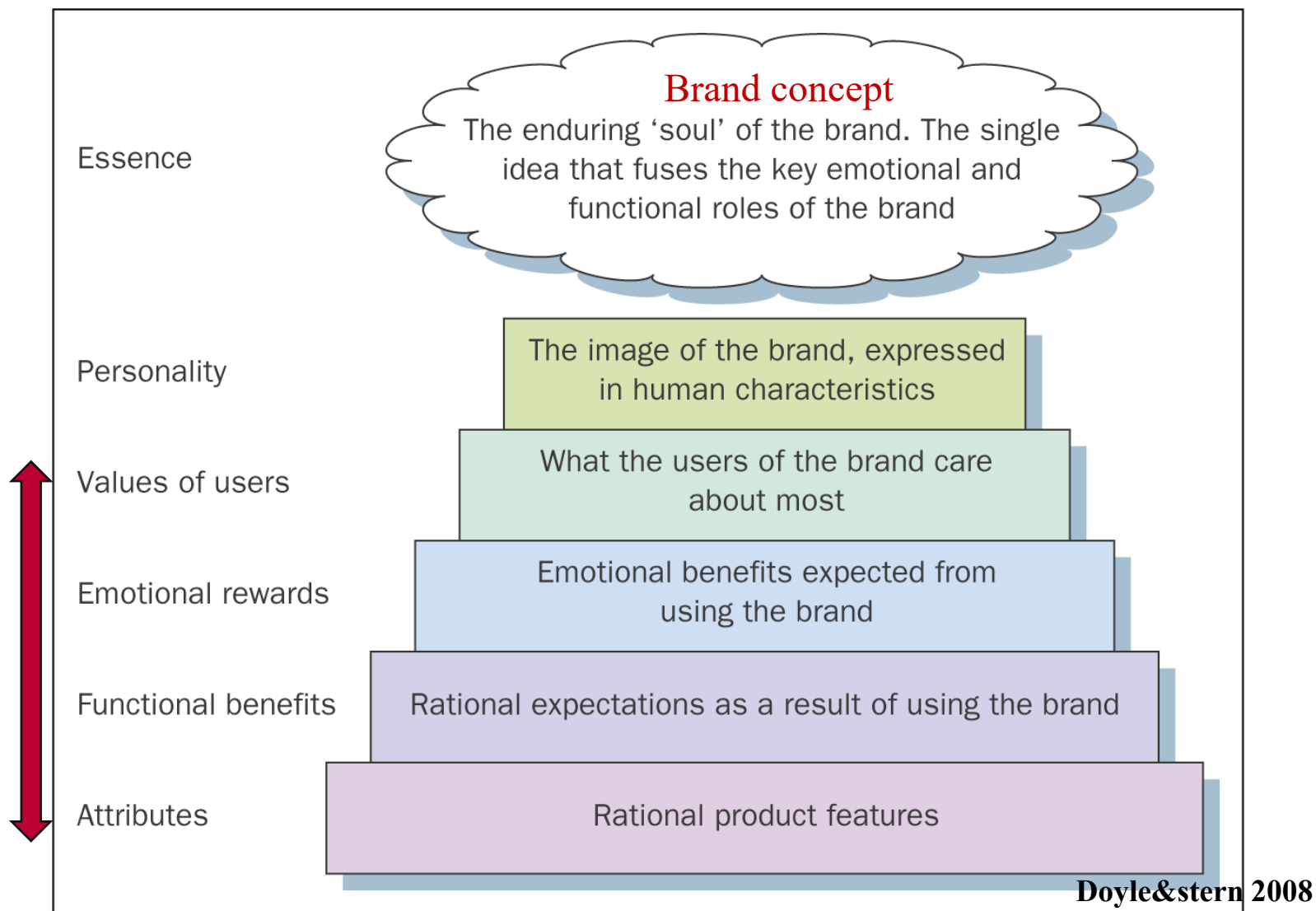
- Airlines
- Facial tissues
- Grocery
- Rental cars



Branding



Different levels of associations



Strong brands have associations that are: SFU

- Strong
- Favorable
- Unique

And... **Congruent**
With brand concept

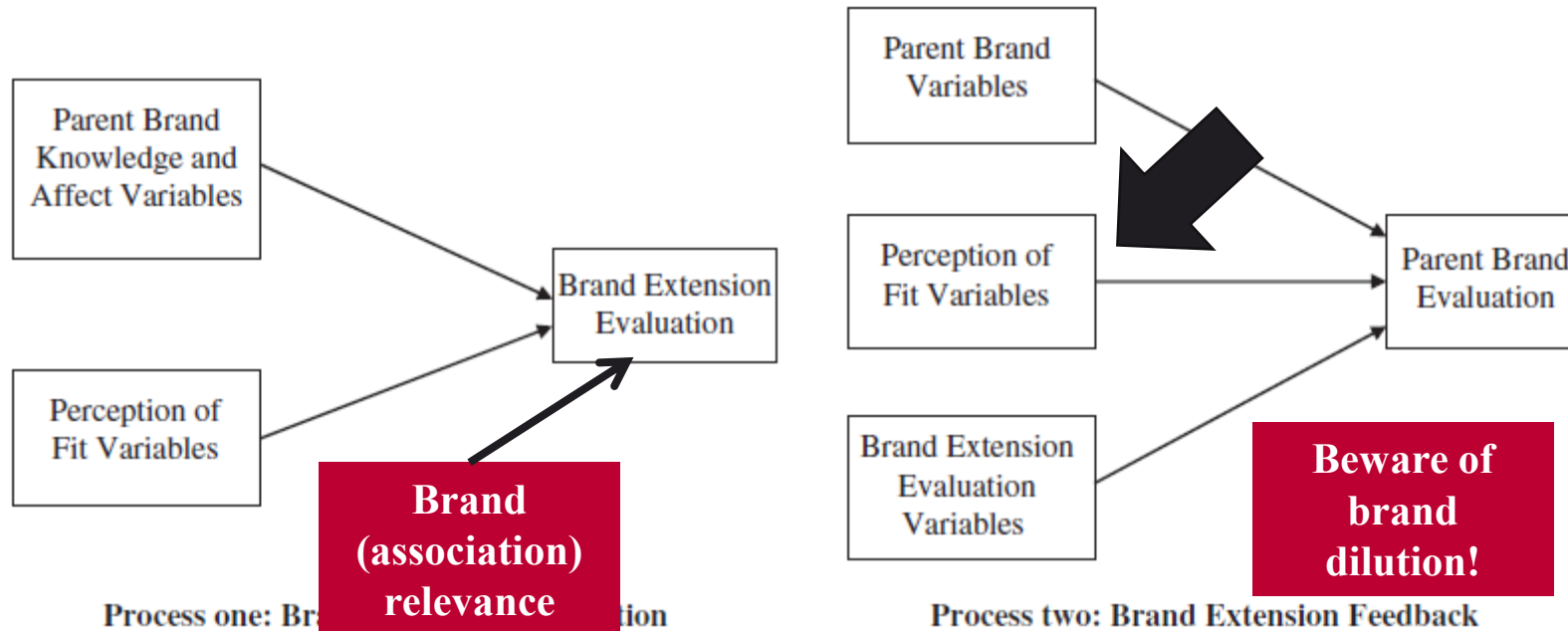


Brand extensions

The brand as platform for new activities

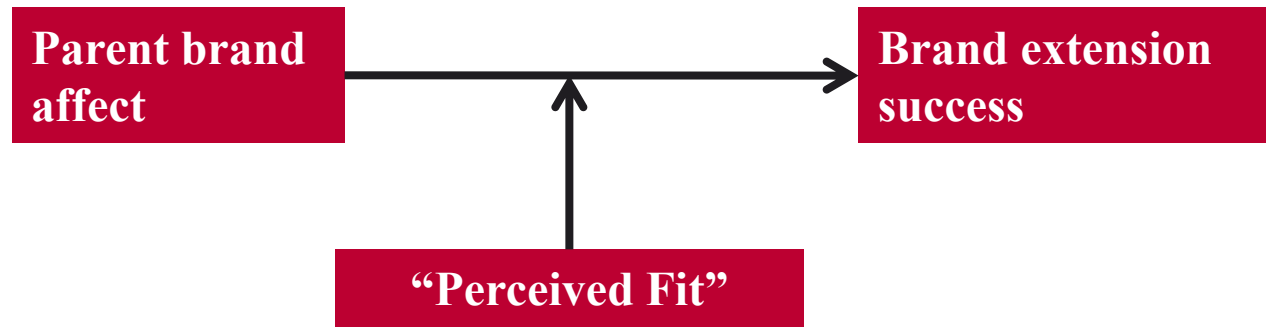
Extension success & brand success

Dwivedi et al 2010



Extension success: two types of fit

- Basic idea: Affect transfer theory



- But fit can be on different levels, not only the product level:
 - Fit with specific brand associations (ie benefit/concept/positioning): Brand fit

Fit on different
levels: product fit
or... Brand fit

Brand fit & relevance in (new) category!

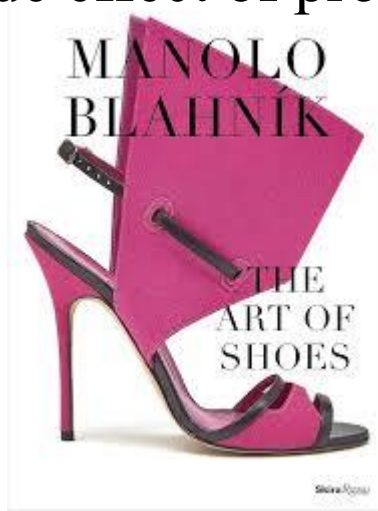
- Salience of brand associations in new context (category)
- Relevance of these associations in the new context (category)
- How unique these associations are compared to new competitors



Keller (2016)

If the brand associations are relevant (unique&favorable) in new category they could override effect of product fit and brand affect.

Broniarczyk&Alba (1994)



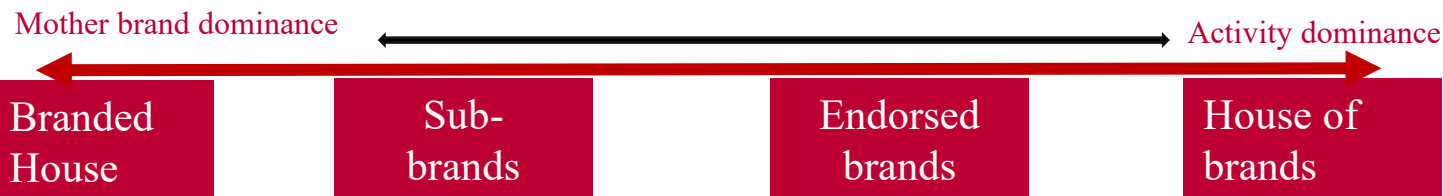
Basic rule-of-thumb activity distance



Emotional meaning

**Funtctional
meaning**

	Similar	Different
Similar	Descriptor (BH)	Endorsed sub-brand
Different	Sub-brand	Independent brand (HoB)



Main considerations between architectures

Hsu, Fournier & Srinivasan 2016

Returns

Cost reduction

- Economies of scale in marketing
- Admin&operation costs efficiencies
- Low cost for new introductions

Revenue enhancement

- Added sales through new segments
- Improved innovation success
- Prospects for new extensions and customised offerings

Idiosyncratic risks

- Brand reputation risk
 - Overall esteem
- Brand dilution risk
 - Loss of differentiation/meaning
- Brand cannibalisation risk
- Brand stretch risk
 - Less leverage options

Question (exam)



- Reason based on what is given
- Show understanding of model – case is only illustration

- Brand reputation risk
 - Overall esteem
- Brand dilution risk
 - Loss of differentiation/meaning
- Brand cannibalisation risk
- Brand stretch risk
 - Less leverage options



Final step

- Next Thursday oct 19th – 12h30 – Online meeting on exam!:
 - Exam prep
 - 2 hour, digital, closed book
 - Check date and time

Bring questions to session!!